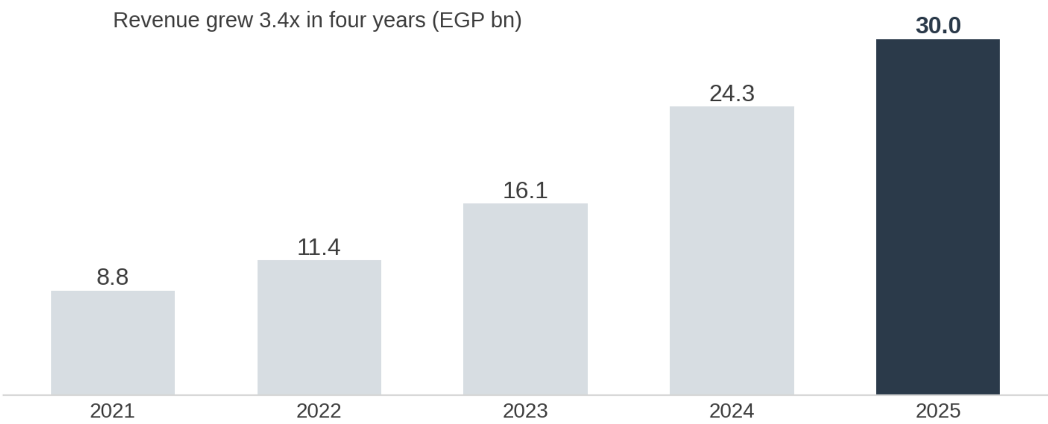
A market leader with strong operations, carrying more in its reported profit than its numbers show

30.0	64%	65k+	4	200+
EGP bn revenue 2025	plain-milk share	retail outlets	plants	products

About the company

Juhayna was founded in 1983 and listed on the Egyptian Exchange in 2010. It is today the leading name in Egypt's dairy and juice market, with about 64% of the plain-milk category. It runs four main plants in 6th of October City, a distribution network of more than 65,000 retail outlets, and a dairy farm of roughly 550 feddans housing close to seven thousand cattle, plus an 8.3-megawatt solar plant. This vertical integration gives it an edge in domestic raw milk and covers part of its need, though not all of it.

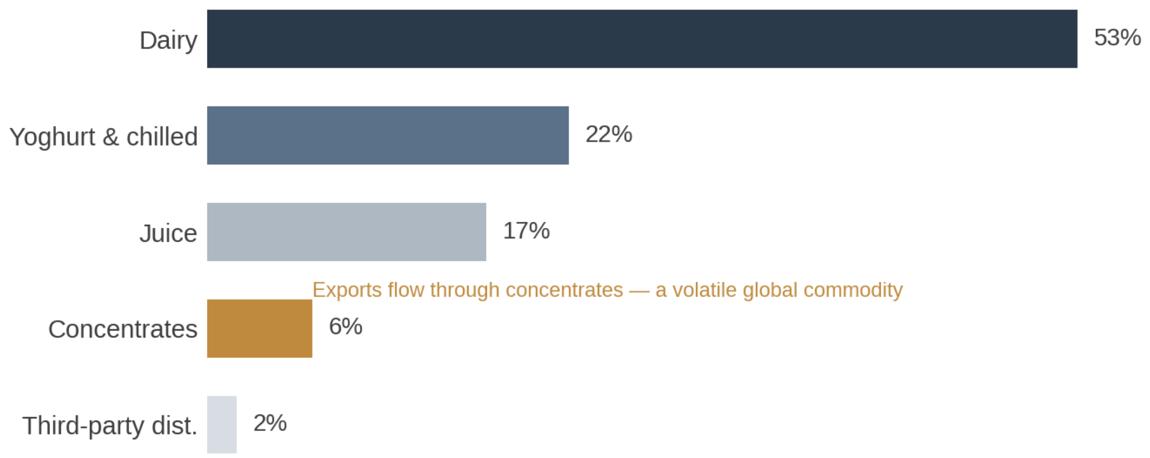
Revenue has multiplied, but inputs remain the weak point



The weakness is structural and worth pausing on: about 95.6% of cost of sales is raw materials and packaging, roughly 40% of it in dollars, while 93% of revenue is in pounds. So any move in the exchange rate passes quickly to the margin. Two further forces, covered in this report, compound it: a debt-funded capital-expenditure cycle that raised financing cost, and an accounting change that moved currency losses out of the income statement and into comprehensive income.

Dairy is the heart of revenue, and exports remain a commodity bet more than diversification

Revenue mix by segment . 2023



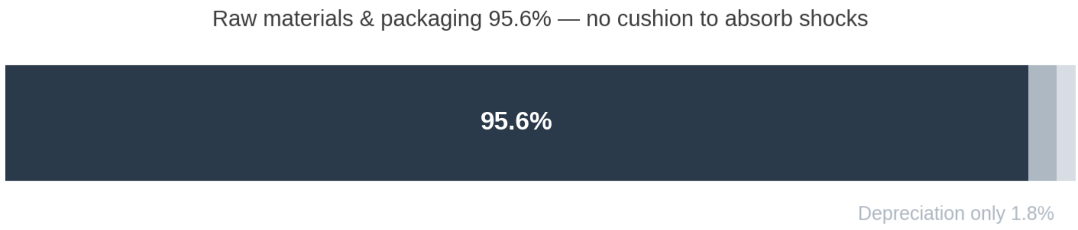
Three observations on revenue

- Dairy is about 53% of revenue, and within it the value brand Bekhero holds close to 37% of the segment. Its growth comes from consumers trading down from pricier to cheaper, which is itself a sign of squeezed purchasing power.
- Exports are only about 7.3% of revenue, and 83% of that is fruit concentrate, a volatile global commodity that rose in 2024 and fell in 2025. This is commodity exposure more than stable geographic diversification.
- In contrast, the company is moving toward higher-margin categories: cooking products, fruit-pieces yoghurt, and Egypt's first plant-based milk. This is a genuine upgrade to the product mix.

Overall: revenue is growing strongly, but its sources are uneven in quality. Part of it is defensive growth in the value tier, and part is fragile exports that are hard to lean on as a dollar hedge in their current form.

When cost is almost entirely inputs, every price shock passes to the margin

Components of cost of sales . 2023



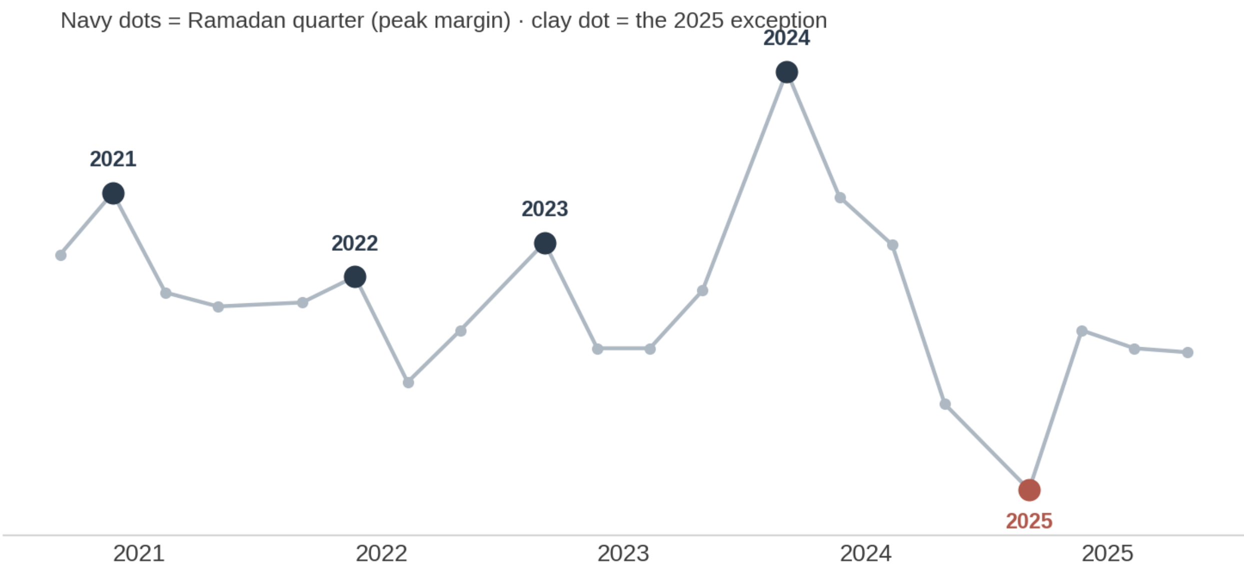
What does this structure mean?

- Depreciation is only 1.8% of cost, meaning there are no large fixed costs to absorb shocks. Any rise in input prices passes to the margin quickly and almost in full, which is the essence of Juhayna's sensitivity to the dollar.
- Goods in transit jumped 478% in 2023, in the form of accumulated dollar letters of credit. The company deliberately hedged against a rising and scarce dollar, which is practical evidence of how deeply it relies on imports.
- Vertical integration cushions the effect partly, not fully: the farm, cattle and solar plant reduce reliance on domestic raw milk, but milk powder and packaging remain dollar-priced.

The margin's sensitivity to the exchange rate is not a management error but a natural result of the model's structure: a cost base that is mostly inputs, around 40% of it in dollars, against revenue in pounds. This exposure is resolved only by changing the mix or by real exports that balance the currency.

Ramadan lifts the margin every year, and 21 quarters show the rule and explain the exception

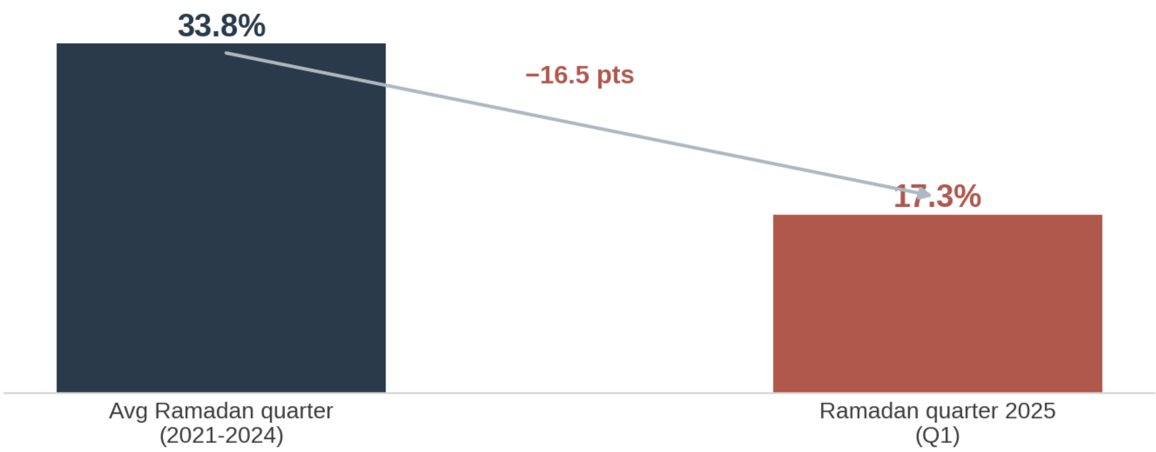
Gross margin across 21 quarters . Ramadan quarter highlighted



In four of five years, the highest annual margin fell in the quarter containing Ramadan (the navy dots). The reason is twofold: in that quarter the company sells from inventory bought at older, cheaper dollar rates, plus the Ramadan demand surge. This is a recurring operating pattern that can be built on, not a passing coincidence. 2025 (the clay dot) appeared to depart from the rule, and we explain why on the next page.

2025 did not break the rule; its Ramadan coincided with a devaluation shock that swallowed the effect

Ramadan quarter 2025 versus the average of prior Ramadan quarters



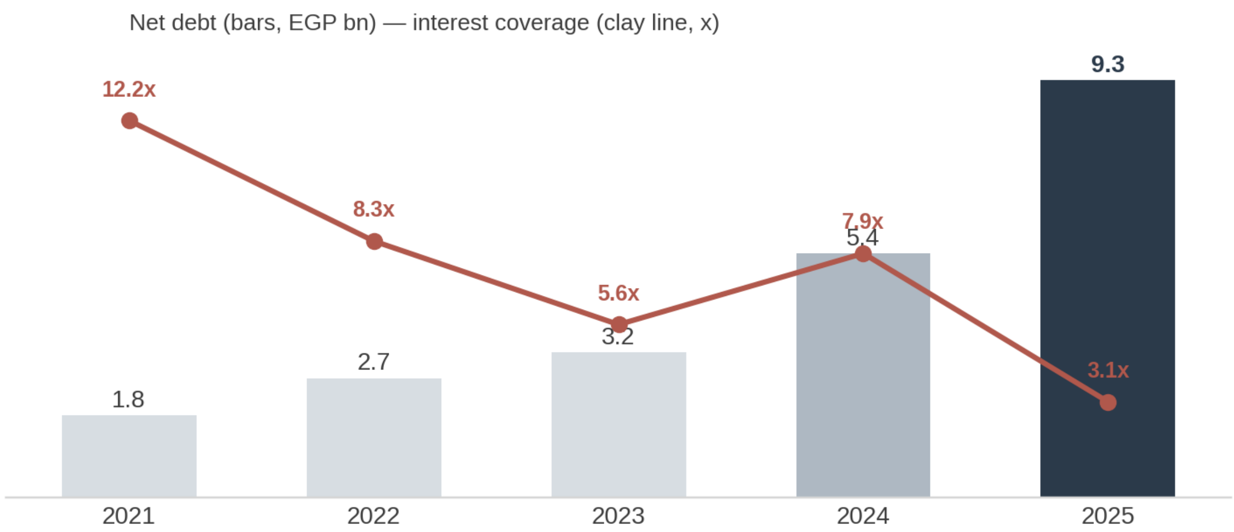
Why did the margin fall in Q1 2025?

- Ramadan 2025 fell in early March, so most of it landed in the first quarter, the same quarter that bore the sharpest impact of the late-2024 devaluation on dollar input costs, alongside the disappearance of the exceptional fruit-concentrate gain.
- Two opposing forces met in one quarter: the Ramadan demand push lifting, and the dollar shock pressing down. The cost effect was stronger, so the margin fell to 17.3% instead of rising.

It is more precise to state the rule this way: the Ramadan quarter delivers the highest margin as long as input costs stay stable. That condition held for four years and broke in 2025 because Ramadan coincided with the devaluation shock. This does not negate the pattern; it adds a condition that makes it sharper and more testable.

Operations no longer cover investment, and the gap was filled with debt that narrowed the safety margins

Net debt and interest coverage . 2021 -> 2025



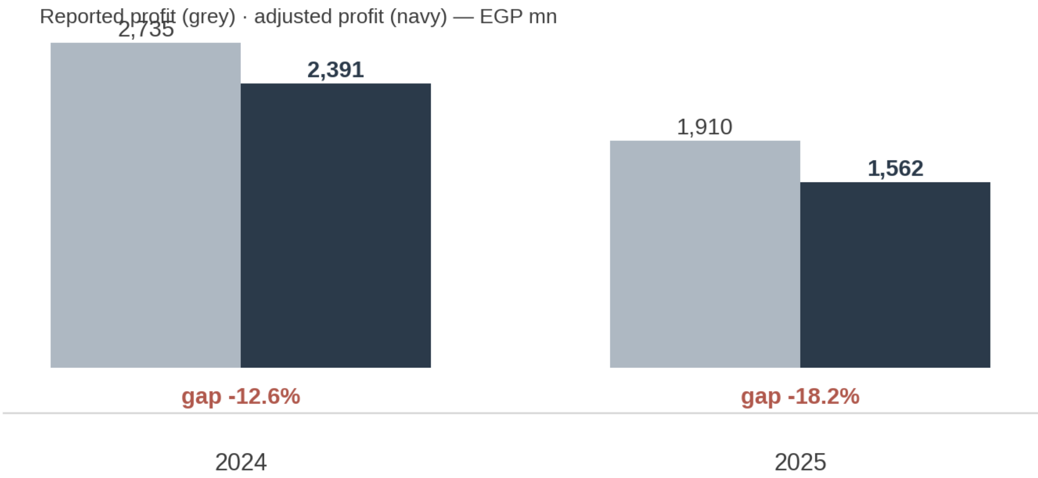
- Projects under construction multiplied about 37-fold (from 74 million to 2.7 billion), the largest expansion cycle in the company's history. In 2024 investing outflows exceeded operating inflows, and the gap was filled by borrowing.
- Net debt reached EGP 9.3 billion by end-2025, or 116% of equity, and financing cost consumed about 1.17 billion of the year's profit.
- Most important, interest coverage fell from 12.2x to 3.1x, narrowing the safety margin against any operational stumble.

This is a clearly defined strategic bet: if the expansion produces growth that outpaces debt service, the company will have built its future capacity at today's price. If high rates persist for a long time, debt turns from a growth tool into a burden on earnings.

Two profits for one number: what shows in the income statement, and what moved to comprehensive income

Since 2024, an amendment to Egyptian Accounting Standard 13 has allowed currency-revaluation losses on dollar balances to be moved to comprehensive income instead of the income statement. The treatment is accounting-sound and signed off by the auditor, but it keeps the loss outside the reported profit on which ratios are built. The difference is not cosmetic: 345 million in 2024, and 348 million in 2025.

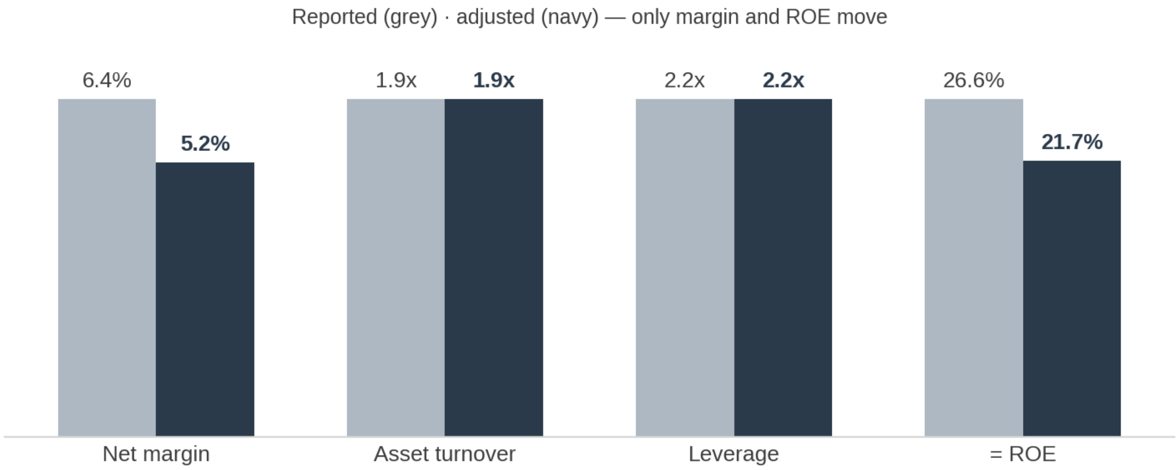
Reported versus adjusted profit . 2024 and 2025 (EGP mn)



- The difference widens rather than narrows: from 12.6% in 2024 to 18.2% in 2025. Management confirmed that the H1 2025 adjustment would have lowered the gross margin to 28.7% and EPS from 2.91 to 2.54 pounds.
- On the profit decline between 2024 and 2025: the cause is not operational deterioration, since revenue grew 23% and volumes in double digits, but the disappearance of the temporary gain and the rise in financing cost.

Return on equity drops five points when computed on adjusted profit

DuPont decomposition . 2025

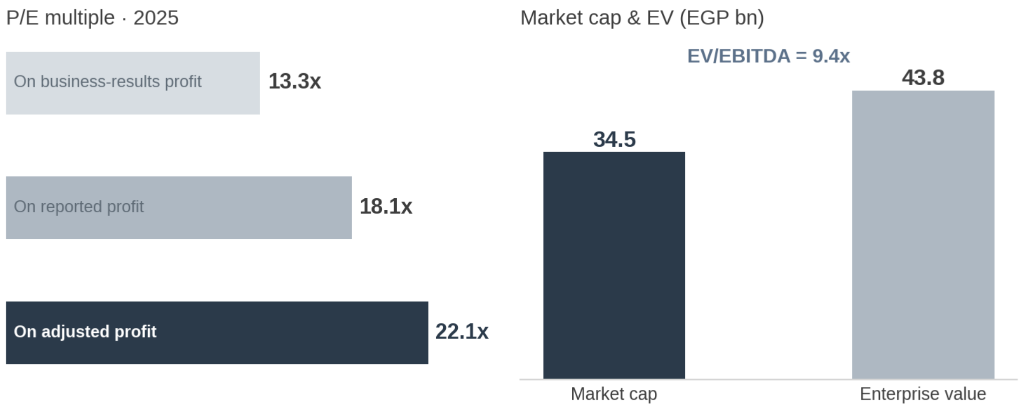


The adjustment touches neither asset turnover nor leverage, since both rest on sales and the balance sheet rather than net profit. But it lowers the net margin from 6.4% to 5.2%, and with it return on equity falls from 26.6% to 21.7%. In other words, part of what looks like a high return comes from how profit is presented, not from operating quality alone.

In practice, any ratio whose numerator is net profit -- EPS, net margin, return on equity, the P/E multiple -- has two values: before and after the adjustment. A fair year-on-year comparison requires putting them on the same basis.

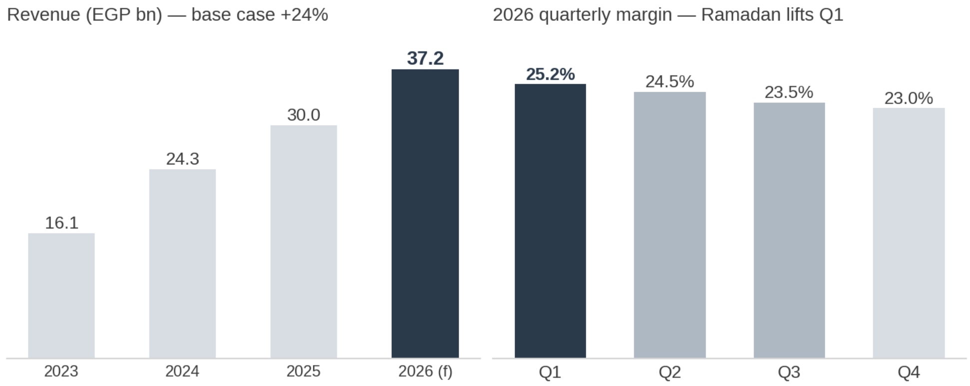
The market prices the adjusted profit at 22x, betting on an expansion that has not yet borne fruit

P/E in three versions . and market cap and enterprise value



On business-results profit the share looks like 13.3x, on reported profit 18.1x, and on adjusted profit 22.1x. Enterprise value equals 9.4x EBITDA. So the share is dearer than it appears when measured on recurring profit.

Our 2026 forecast . base case



On base-case growth of about 24% we estimate 2026 revenue at EGP 37.2 billion. Because Ramadan 2026 fell entirely in the first quarter, we expect it to carry the highest margin and the later quarters to be weaker, a forecast built on the recurring pattern. This reading remains conditional on three factors together: a successful expansion, falling interest rates, and a stable pound.

Methodology: figures are from the official financial statements and published business results (2021 to Q1 2026), 21 quarters and five full years, with notes 4, 9, 17 and 24. Estimates are flagged where they occur. This is an analytical reading of earnings quality, not a buy or sell recommendation.